# WARRANTY ATLAS · Ohio (OH)

Law last amended: 2025 (eff. 2025-09-30) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-26

Cites: Ohio Rev. Code § 4517.52; Ohio Rev. Code § 4517.59(A)(10)-(12), (18), (20) (claims, audits, chargebacks); Ohio Rev. Code §§ 4517.64, 4517.65

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Factory time (reasonable/adequate standard where stated) | § 4517.52(D)(1) |
| **Mfr-backed service contract** | **Not addressed** | - | § 4517.52(B) |
| **CPO warranty** | **Not addressed** | - | § 4517.52(B) |
| **Independent service contract** | **Not addressed** | - | § 4517.52(A) |

Hourly rate: Not less than the franchisee's retail rates for warranty-like diagnosis and labor. The franchisee picks 100 sequential customer-paid warranty-like ROs or all such ROs over 90 consecutive days (within 180 days). Rate = total labor sales ÷ labor hours. Franchisor may contest within 30 days, then internal dispute resolution with appeal to court. Once per calendar year. The franchisor may not unilaterally set the rate.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 45 days; late claim deemed approved: no rule in statute. immediate written notice stating the specific grounds for disapproval | § 4517.59(A)(10)-(12) |
| **Payment** | 30 days after approval. Dealer filing deadline: Franchisor may not disclaim a claim for failure to submit or resubmit within a period of less than 6 months from the date of service. At least 6 months from service date to submit or resubmit ((A)(12)). No denial for an incidental failure to follow a claim proces… | |
| **Chargebacks** | 12 months; fraud: Limits 'shall not be effective in the case of a fraudulent claim'. Ch…. The window runs 12 months from the dealer's SUBMISSION, not payment. Chargeback only if the claim lacks material documentation or is false, fraudulent or a misrepresentation. No chargeback until the dealer has had notice and a chance to use all internal appea… | § 4517.59(A)(18), (A)(20) |
| **Rate resubmission** | not more than once per calendar year. Sample: 100 ROs or 90 days (dealer chooses); ROs <= 180 days old. Excluded: Discounted / promotional, Other (see text), Routine maintenance, Prep / reconditioning, Accessories, Collision / body / glass, Insurance-paid, State inspections, Goodwill, Government, Tires. | § 4517.52(B)(1)-(4), (C)(4) |
| **Mfr response** | 30 days; no response = approved: Yes. Challenge: Rate or markup is 'materially inaccurate' Forum: franchisor's internal dispute resolution process, appealable to court. | § 4517.52(C)(1)-(3), (E) |
| **Penalties** | Double actual damages plus court costs and reasonable attorney fees (§ 4517.65(A)); statutory interest on unreasonably denied/delayed claims (§ 4517.59(A)(20)) Violating §§ 4517.50-4517.65 is a fourth-degree misdemeanor (§ 4517.64(C)); failing to obey Motor Vehicle Dealers Board orders is prohibited (§ 4517.64(A)(1)) | Ohio Rev. Code §§ 4517.59(A)(20), 4517.64, 4517.65 |
| **Audit procedures** | Audit climate score 46/100 (High restrictiveness; chargeback limits 42/75 + process and oversight 4/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(§ 4517.59(A)(10)-(12)): "Fail to approve or disapprove any warranty or recall claim submitted by a franchisee within forty-five days after receipt from the franchisee ... Fail to pay a franchisee within thirty days after approval"*
***Chargebacks*** *(§ 4517.59(A)(18), (A)(20)): "Initiate a charge back without an audit or perform an audit to confirm a warranty or recall repair ... more than twelve months after the date of submission by the franchisee"*
***Rate*** *(§ 4517.52(B)(1)-(4), (C)(4)): "submits to the franchisor either of the following ... One hundred sequential nonwarranty service repair orders for warranty-like repairs that have been paid by a customer and closed by the time of submission ... for a period of ninety consecutive days"*
***Factory time*** *(§ 4517.52(D)(1)): "The franchisor shall use time allowances for the diagnosis and performance of the warranty and recall work and service that are reasonable and adequate for the work or services to be performed by a qualified technician."*

## Notes

The claim decision deadline is 45 days, not 30. Warranty claims have NO deemed-approval rule (only incentive claims do, under (A)(19)). The chargeback window runs from submission. RV franchisors/franchisees are exempt from 4517.52(A), (C), (D), (E) and from the diagnostic part of (B), and cannot use the (B) RO method. Time allowances must be 'reasonable and adequate' for a qualified technician ((D)(1)). Rental vehicles required or offered by the franchisor are fully reimbursed ((D)(5), added 2025).

Source: official · https://codes.ohio.gov/ohio-revised-code/section-4517.52 ; https://codes.ohio.gov/ohio-revised-code/section-4517.59 · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.